



RICE FOR VOTES:
Reddy (centre) kicks
off the subsidised
rice programme

Photographs by A PRABHAKAR RAO

states ANDHRA PRADESH

GRAIN DRAIN

The Rs 2-a-kilo rice scheme relaunched by the Government marks the start of the electoral silly season and is likely to trigger competitive populism as the state gets ready for assembly polls

■ **By Amarnath K. Menon**

Inflation is going through the roof but if you are poor and a resident of Andhra Pradesh, you are not likely to feel the pinch. It's not because of Chief Minister Y.S. Rajasekhara Reddy's ability to rein in prices, but because of his penchant for unabashed electoral populism. The relaunch by the Congress Government of the subsidised rice scheme—offering a poor family 20 kg at Rs 2 a kilo—on April 9, two days after Ugadi, Telugu New Year's Day, has been clearly done with an eye on the assembly elections less than a year away. While Reddy kick-started the scheme at Jadcherla in the backward Mahbubnagar district, his ministers, legislators, MPs and party leaders took up the baton at 41,884-odd fair price shops across the state.

Legislators of other parties, too, participated in the launch in their constituencies as the Rs 2-a-kilo rice scheme is known to fetch rich political dividends as a potential vote grabber. Some enthusiastic MLAs and MLCs

even announced they would pick up the tab for the rice supplied to select villages in their constituencies. The Government is giving 4 kg of rice to each person under the scheme, subject to a maximum of 20 kg per family a month, at Rs 2 per kg while the market price is upwards of Rs 13 per kg. With 87 of every 100 eligible families having already collected their dues within a week of the launch, Reddy has directed officials to ensure that the rice reaches the eligible alone and is not diverted to the open market.

The rival TDP is distraught by the government's move. "This is a publicity stunt to cover up the Government's failure in controlling prices and is bound to boomerang in the next elections," thunders TDP President N. Chandrababu Naidu. That's a bit ironical since the scheme was first promised by TDP founder N.T. Rama Rao (NTR) in the run-up to the 1983 assembly elections, borrowing from the electoral strategy of DMK in neighbouring Tamil Nadu.

After NTR won the elections, the

scheme was put into effect on Ugadi day in April 1983. NTR made the promise again in the run-up to the 1994 elections and re-introduced the Rs 2-a-kilo scheme in 1995 on regaining power. The scheme, however, was shortlived as his son-in-law Naidu, who ousted him in a Banjara Hills palace coup, scrapped the scheme and raised the price of rice to Rs 3.50 a kilo and later in 2000 to Rs 5.25 a kilo.

What successive governments did was to indulge in a delicate balancing act. On the one hand, they decided to placate the cardholders by allowing their numbers to grow. On the other, they pleased rice millers, who contributed to party and personal coffers, by varying the quantum of procurement and permitting them to export rice to other states at a premium. As a result of this ambivalent policy, the number of poor cardholders has grown over the years with no certainty that they would get in full what the government of the day declares they are eligible for.

This is the most ambitious attempt